

# Week 1 Recitation

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*ECON2001.01 (Prin. Micro.)*

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# TA Introduction

## Suha Kim

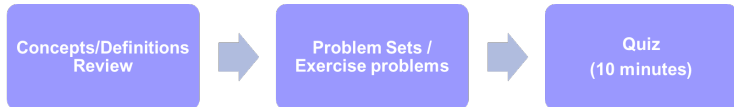
( Professional Website)

- **Email:**  kim.8316@osu.edu
  - Feel free to reach out! - Questions, requests, etc.
  - Please indicate in the subject field:  
"*[ECON2001.01, F 8:00AM]* ~ "  
This would help me get to you quickly.
- **Office hour:**
  - 🕒 Mon **1:30 - 2:30PM**, Wed **2:30 - 3:30PM** | 📍 Arps 310
  - Sign up for an office hour meeting to minimize waiting time:  
 [calendly.com/suhakim/officehours](https://calendly.com/suhakim/officehours)
  - Or reach out to me through email!

# TA Introduction

- **Class announcements:**  CarmenCanvas
  - Make sure that you have enabled “Notify me right away” in your Carmen settings
  - Notification Preferences  ([go.osu.edu/canvas-notifications](https://go.osu.edu/canvas-notifications))

- **Recitation:** Fri



# Review

<What is the thing we would learn throughout this whole semester - Economics?>

## What is Economics?

- Economic Agent, Choice, Scarcity

## What is the scope that Economics resides in?

- Positive vs. Normative
- Micro vs. Macro

## What are the key elements? - 3 principles

- Optimization
  - Feasible, Best, Net-benefit, Cost-benefit, Trade-off, Opportunity Cost
- Equilibrium
  - Free-rider's problem
- Empiricism

# Review

## What is Economics?

“Economics is the study of *how economic agents choose* to allocate *scarce resources* and how those choices affect society.”

- **Economic Agent:** Any group or individual that makes choices, such as Individuals, Households, Firms, Governments, etc.
- **Scarcity:**
  - **Scarcity** is the situation of having unlimited wants in a world of limited resources.
  - **Scarce resources** are things that people want, where the quantity that people want often exceeds the quantity that is available.
  - E.g., Diamonds, Online Services, vs Air

E.g. the real studies?:

# Review

What is the scope that Economics resides in?

Economic analysis describes *what agents actually do* (positive statements) and *what they ought to do* (normative statements).

- **Positive economics** is a descriptive analysis of economic behavior.  
E.g.: “An increase in fuel efficiency of automobiles has caused a 10% increase in fuel consumption (known as the rebound effect)”
- **Normative economics** is analysis that takes a more advisory role to economic behavior  
E.g.: “The government *needs to* (*should, ought to, ...*) enforce antitrust laws in temporary guest worker labor markets due the market not being competitive.”

# Review

What are the key elements? - 3 principles

## ① Optimization

Optimization is where economic agents choose *the best feasible* alternative.

- “**Feasible**”: what is possible  
E.g.: Many of us would like to have a Maserati, but a Maserati will not be among the feasible set of cars to choose from for most of us.
- “**Best**”: the feasible alternative that provides an economic agent the highest level of Net-Benefits ( $= \text{Benefits} - \text{Costs}$ )

# Review

What are the key elements? - 3 principles

- A **Cost-Benefit analysis** (summing all benefits and all costs using a common unit of measurement)
  - **Trade-offs** arise when some benefits must be given up in order to gain others.

- To describe trade-offs:

A **budget constraint** is the set of things that a person can choose to do (or buy) without breaking her budget.

$$\underbrace{I}_{\text{Income}} = \underbrace{p_1x_1 + p_2x_2}_{\text{Total Expenditures}}$$

- To evaluate the value of a trade-off:
  - determine the value of what is *given up*
  - **Opportunity cost**: the value of **the best alternative use** of a resource



# Review

What are the key elements? - 3 principles

## 2 Equilibrium

Equilibrium is the state where all economic agents are simultaneously optimizing taking into account all information each agent has. In such a state, *no economic agent will benefit by deviating* from their optimal choice, given that all other agents are optimizing.

- People's self interests often do not align with societies best interests.
- The **free-rider problem** is where an economic agent benefits from the actions of others without incurring a cost  
E.g.: If any of you have or had roommates, then you likely encountered issues regarding the cleanliness of your place.

# Review

What are the key elements? - 3 principles

## 2 Equilibrium

Equilibrium is the state where all economic agents are simultaneously optimizing taking into account all information each agent has. In such a state, *no economic agent will benefit by deviating* from their optimal choice, given that all other agents are optimizing.

Example:

|       |             | Clara |             |
|-------|-------------|-------|-------------|
|       |             | Bar   | Coffeehouse |
| Erica | Bar         | 3, 2  | 0, 0        |
|       | Coffeehouse | 0, 0  | 2, 3        |

# Review

What are the key elements? - 3 principles

- ③ Empiricism  
More in detail in Chap 2...

# Problem Set - Exercise

## Chapter 1

2. (Trade-offs; Opportunity Cost; Cost-Benefit Analysis) Your friend Charles asks you to drive him to the airport. He says that he will reimburse you for the cost of going to the airport. It is a two-hour round trip to the airport, and you will use \$15 in gas. If Charles pays for the cost of gas, has he paid your full cost of taking him to the airport? What other costs is Charles forgetting?

# Problem Set - Exercise

## Chapter 1

4. (Trade-offs; Opportunity Cost) Suppose Clara has the following budget constraint and always exhausts her budget of \$128. The cost of a chicken wing and sushi roll is \$2 and \$16, respectively.

$$\$128 = \$2 \cdot X_{\text{chicken wings}} + \$16 \cdot X_{\text{sushi rolls}}$$

Assume Clara has exhausted her budget, determine the opportunity cost purchasing one more sushi roll?